Measured in terms of share in global GDP, in this regard, India has been identified as systemically important economy. But it is clearly a net contributor to global demand as evidenced from its current account deficit. While India's exchange rate is largely market determined, its domestic savings are largely oriented to financing domestic investment appropriate at a stage of high growth but not at the cost of curbing consumption. Even if India is not a contributor to global imbalances, its interest clearly lies in smooth resolution of these issues and towards measures that could help revive global growth.

Reforming the IMF

The current international monetary system (IMS) has no mechanism to prevent a build-up of imbalances on the external account and the burden of adjustment falls on deficit nations. In the run up to the crisis of 2008, it was felt that countries like the US could somehow sustain fiscal and current account deficits by virtue of the privilege of issuing a reserve currency. But this trend instead accentuated the so-called external imbalances, even if it was not the primary cause of the crisis that turned global.

The G 20 Working Group on Reform of the IMS (set up at the Cannes Summit) focused, among others, on capital flows and their management (CFM), the measurement of global liquidity, holding of international reserves, and future role and composition of the special drawing rights (SDR). While the *latter two issues* remain areas of continuing work, drawing on the work of the IMS group, the Cannes Summit communiqué mentions that the '*Coherent Conclusions for the Management of Capital Flows' (CCMCF)* would guide the G-20 in order to reap the benefits of financial globalisation, while preventing and managing risks that could undermine financial stability and sustainable growth at national and global levels.

Given below are a brief overview of the **Dodd-Frank Act** of the USA on its attempt towards the issue of Financial Regulation:

The financial crisis of 2007-10 led to calls for changes in the regulatory system. In June 2009, a proposal for a 'sweeping overhaul of the